

You're not going to spend your life (or even several days of your life) investigating every detail of a particular insurance company or agent, but it does pay to do some legwork. The following tips can help you avoid disaster:

- **Check on the insurer's financial health.** It's a good idea to do business with a financially sound insurance company. Even though states have "guaranty funds," which are supposed to protect consumers (up to certain limits) if insurance companies go bankrupt, the rules and level of protection vary by state. (The National Organization of Life & Health Insurance Guaranty Associations has all the details at www.nolhga.com.) You could wait a long time before you collect on a claim—and even then, you may not get all that you had hoped for. It's uncommon for an insurance company to go belly up, but it does happen.

There are four major rating agencies that judge the financial security and soundness of insurance companies: A.M. Best, Fitch Ratings, Moody's, and Standard & Poor's. Stick with an insurer that gets high grades from at least two of these firms. But even then, you won't be guaranteed that a company is sound. For instance, A.M. Best gave one insurer an A+ rating just a week before it failed, while Standard & Poor's and Moody's both gave it an A. Nevertheless, make sure the company you're interested in hasn't received a really low grade from one of these agencies.

You can get free information online from most of the agencies. Fitch is the easiest. Just go to its website (www.fitchratings.com) and look up "insurers." The only info you want is the corporate finance rating; don't worry about any reports you have to pay to read. A.M. Best will let you check its ratings on its website (www3.ambest.com/ratings/default.asp) for free once you register. So will Moody's (www.moody.com). Standard & Poor's will let you browse through all of its insurance ratings online, but the list is a bit tricky to find. Go to www.standardpoors.com, select "United States," then